

CAPITAL, ECONOMIC GROWTH AND INEQUALITY

All Figures are from these books:

Piketty, Thomas (2014), *Capital in the Twenty-First Century*

Piketty, Thomas (2020), *Capital and Ideology*

Income and Capital (or Wealth): How are the two different?

Income = Value of output (commonly referred to as GDP) (produced within the country) = Expenditure

In the

(National) Income = Labor income + capital income

Expenditure = Consumption + Investment (assuming, for simplicity, no government and no trade with the external world).

Labour income is in the form of wages or salaries. Capital income can be in the form of profits but also as rent, dividend, and interest.

The above two equations do not imply that investment is identical with capital income (or that consumption is identical with labour incomes – although it is possible that a large part of consumption is based on wage incomes).

People who receive capital income (for instance, rentiers) need not be the ones who make the investment. Even firms, which receive profit incomes, may not be investing all the incomes they receive.

Investment is addition to capital stock.

Capital includes all forms of real property (including residential real estate) as well as financial and professional capital (plants, infrastructure, machinery, patents, and so on) used by firms and government agencies.

Capital includes all forms of wealth that individuals (or groups of individuals) can own and that can be transferred or traded through the market on a permanent basis.

Capital can be owned by private individuals (in which case we speak of “private capital”) or by the government or government agencies (“public capital”)

Capital used in the book does not include “human capital,” which consists of an individual’s labor power, skills, training, and abilities.

In this book, “capital” is used to describe all forms of wealth accumulated by human beings (buildings, machinery, infrastructure, etc.). As per the definition in this book, capital also includes land and natural resources.

(As land is a natural resource and not accumulated by human beings: land may be thought of as a component of wealth but not of capital. However, Piketty argues, it is not always easy to distinguish the value of buildings from the value of the land on which they are built.)

The words “capital” and “wealth” have been used interchangeably in the book.

More on this in: Thomas Picketty (2014, pages 45-48, Chapter 1)

Thomas Picketty (2014) *Capital in the Twenty-first Century*

A Summary of Chapters 3 and 4 of Picketty, Thomas (2014) Capital in the Twenty First Century

The Capital/Income Ratio or K/Y ratio

Capital is a stock. It corresponds to the total wealth owned at a given point in time. Capital stock “comes from the wealth appropriated or accumulated in all prior years combined” (Piketty, 2014, p. 50).

Income is flow. Incomes are either consumed or invested (Income = consumption + investment).

Capital stock at time t = Capital stock at time $t-1$ + Investment in time t

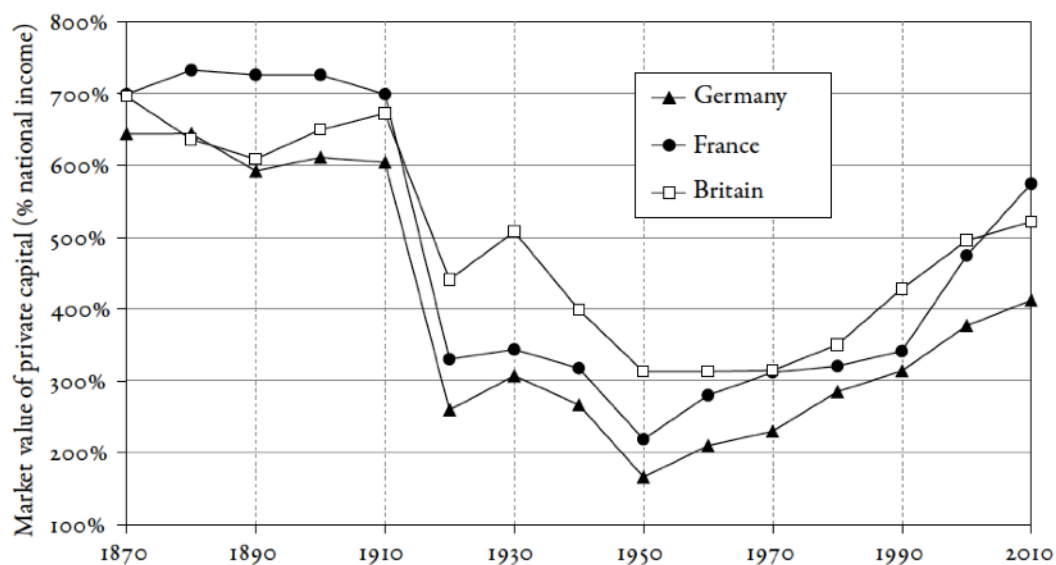
Capital/income ratio is denoted by the Greek letter β

For example, $\beta = 6$ if a country's total capital stock is the equivalent of six years of national income.

"The capital/income ratio for the country as a whole tells us nothing about inequalities within the country. But β does measure the overall importance of capital in a society", writes Piketty (2014, p.51).

The larger the value of K (which is accumulated wealth or stock) relative to the value of Y (which is annual income or flow of new incomes), or larger the value of K/Y, the greater the inequality.

Capital-Income Ratio in Europe, 1870-2010



Private and Public Capital in Europe, 1870-2010

Piketty, Thomas (2014) *Capital in the Twenty First Century*

The figure above shows some broad trends. In the late 19th century, K/Y ratio or β was approximately 700% or the value of capital stock in the economy was seven times as large as the annual income in both Britain and France.

However, the K/Y ratio declined in all these countries during the inter-war period — from the beginning of the First World War till the end of the Second World War. In other

words, the wars led to a significant decline in inequalities in these countries. Why? Let us find out.

In 1950, the K/Y ratio had fallen to the lowest level in all three countries: between 200% to 300% (a big fall from 700% in the late 19th century).

Inequality remained more or less at low levels until the 1970s. However, inequality rose sharply from the 1980s.

Throughout this period, we find that the K/Y ratio was lower in Germany compared to the K/Y ratio in Britain and France. We also find later that K/Y ratio was lower in the United States as well compared to Britain and France. To understand why inequality was low in Germany and the United States compared to Britain and France, we need to study the structure of capital in each of these countries. This is what is done in Chapters 3 and four of the book.

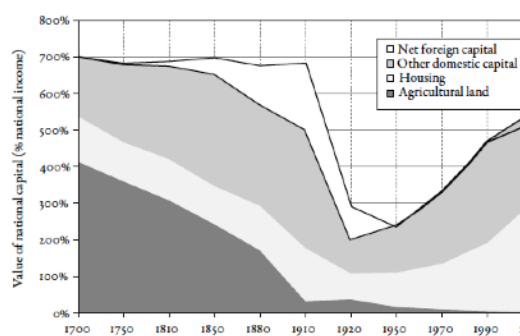


FIGURE 3.1. Capital in Britain, 1700–2010

National capital is worth about seven years of national income in Britain in 1700 (including four in agricultural land).

Sources and series: see piketty.pse.ens.fr/capital21c.

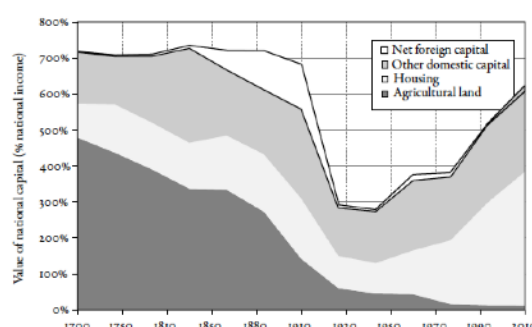


FIGURE 3.2. Capital in France, 1700–2010

National capital is worth almost seven years of national income in France in 1910 (including one invested abroad).

Sources and series: see piketty.pse.ens.fr/capital21c.

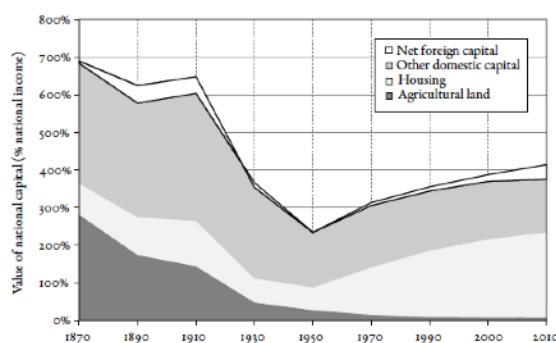


FIGURE 4.1. Capital in Germany, 1870–2010

National capital is worth 6.5 years of national income in Germany in 1910 (including about 0.5 year invested abroad).

Sources and series: see piketty.pse.ens.fr/capital21c.

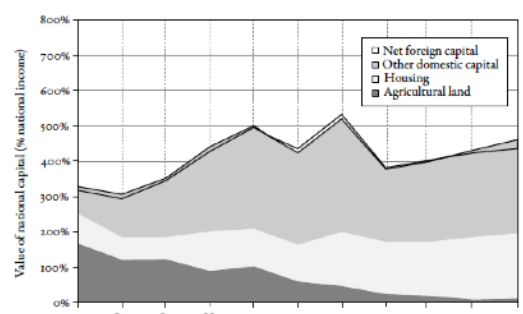


FIGURE 4.6. Capital in the United States, 1770–2010

National capital is worth three years of national income in the United States in 1770 (including 1.5 years in agricultural land).

Sources and series: see piketty.pse.ens.fr/capital21c.

In these two chapters, Piketty studies the overall size of capital and its composition or breakdown into various forms of assets: including land, buildings, machinery, firms, bonds, gold, and so on.

It can be seen that land was the main form of capital in Britain and France during most of the 19th century (we will see in chapter 7 that the return from land which is Rent is highly unequal.)

It can also be seen that compared to Britain and France, the value of capital in the form of land was significantly lower in Germany and the United States. One of the reasons for the lower value of capital in the form of land in the U.S. was lower land prices in that country.

The Rise and Fall of Foreign Capital

Britain and France owned significantly large (net) foreign capital from the late 19th to the early 20th century. These countries were colonial powers and they owned capital in other parts of the world, but mainly in their colonies (India being the most important colony). In 1914, just before the onset of the First World War, Britain's net foreign asset was 200% of national income or close to a third of its national income and six times the total value of British farm land.

Note that both Britain and France had trade (or current account) deficits when they were holding net foreign assets.

But by the 1950s, net foreign assets of Britain and France was close to zero by the 1950s. It can be seen that net foreign assets was close to zero for Germany and the U.S.

'Rhenish capitalism' and how that reduced inequality in Germany

Also q = Market Value/Replacement cost of assets low in Germany compared to the Britain and France.,

Public and Private capital: how inflation can affect inequality

Governments financing their debts with government bond. Ultimately these are bonds held by the rich (people who have savings). How is the government going to pay back the debt?

In a country in which inflation is high, the creditors (who have purchased the bonds) lose a part of their wealth due to inflation. Assume that the creditors were receiving interest of 5% while the average inflation was 8%.

A bond purchased for Rs.1000: after a year, with interest it has become Rs.1050.

But the effect of inflation: Rs. 1000 today will be worth only Rs. 920 after a year (in terms of the goods and services) you can purchase — or 8% less given the inflation.

So after a year, although the creditor gets Rs.1050, that will be worth only Rs. 968 (or 92% of 1050).

Thus, due to inflation, the government gains (it pays less to its creditors), the rich creditors lose some of their wealth.

In the process, the society becomes less unequal.

This was what happened in Germany. High inflation leading to some reduction of wealth for the rich and a reduction of inequality.

What happened in Britain was just the opposite. The government duly paid back the debt they took. The rich creditors became richer. Inequality increased.

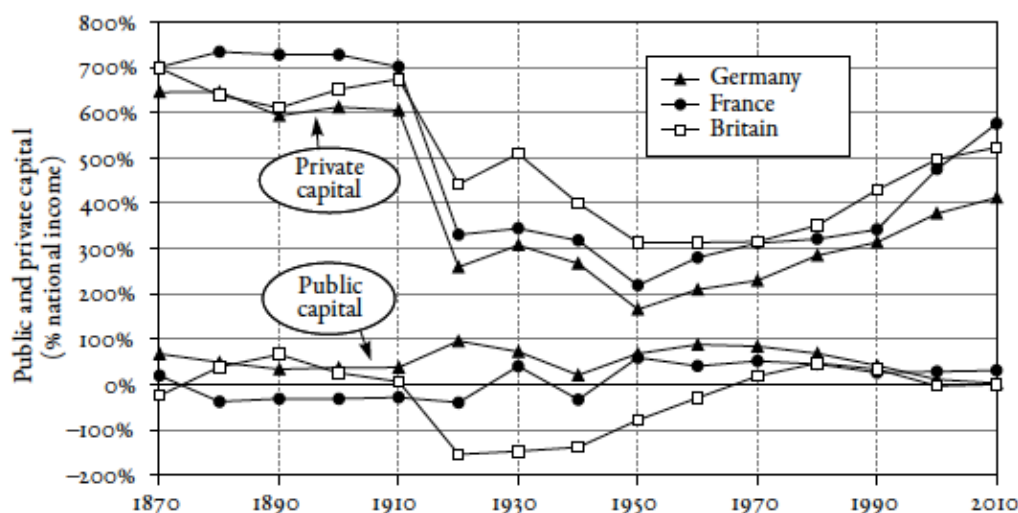


FIGURE 4.4. Private and public capital in Europe, 1870-2010

Summary of Chapter 5: 'The Capital/Income Ratio over the Long Run'

The First Fundamental Law of Capitalism: $\alpha = r \cdot \beta$

r is the rate of return on capital.

The share of income from capital in national income is denoted by α

For example, if β or K/Y (or capital-income ratio) = 600% and $r = 5\%$, then $\alpha = r \cdot \beta = 30\%$

If national wealth represents the equivalent of six years of national income, and if the rate of return on capital is 1 percent per year, then capital's share in national income is 30%

The Second Fundamental Law of Capitalism: $\beta = s/g$

β is capital/income ratio (K/Y), s is saving rate and g is growth rate

Capital/income ratio tends over the long run towards its equilibrium level, $\beta = s/g$

Higher the β , higher is the inequality.

We can see that:

A country that saves a lot (s is high) but whose (income) growth rate is low (g is low) -- capital/income ratio will tend to a very large value in that country leading to a large

accumulation of capital or wealth even while the economy is stagnant. In turn, this will result in an increase in inequality in the country.

“what this means is that the owners of capital for a given distribution of wealth potentially control a larger share of total economic resources(Piketty, 2014, p. 167).

If $s = 12\%$, $g = 2\%$, then capital/income ratio or β will be 600%

“..in a quasi- stagnant society, wealth accumulated in the past will inevitably acquire disproportionate importance” (Piketty, 2014, p. 166).

(Think of a village society in which land (and other assets) is in the hands of a small minority of households. Incomes from cultivation (or land) go to these privileged families and could get saved in the form of gold or other assets. But very little benefits to the rest of the population.)

What are the possibilities for the above?

g = growth of the national economy equal growth of per capita income plus growth of population.

In countries or societies in which population growth has slowed down (ageing population in many European countries), g tends to be low and β tends to increase. That is, income distribution will shift in favour of the already wealthy.

Capital/income ratio is higher in many European countries than in the US because of slower growth of the population in Europe.

It may be noted that capital/income or β can rise even without any increase in saving rate if asset prices (such as price of land) increase faster than the general price level.

Where there is no structural growth, and the productivity and population growth rate g is zero, we run up against a logical contradiction very close to what Marx described. If the savings rate s is positive, meaning the capitalists insist on accumulating more and more capital every year in order to increase their power and perpetuate their advantages or simply because their standard of living is already so high, then the capital/income

ratio will increase indefinitely. More generally, if g is close to zero, the long-term capital/income ratio $\beta = s/g$ tends toward infinity. And if β is extremely large, then the return on capital r must get smaller and smaller and closer and closer to zero, or else capital's share of income, $\alpha = r \times \beta$, will ultimately devour all of national income (p. 228).

Capital's Comeback in Rich Countries since the 1970s

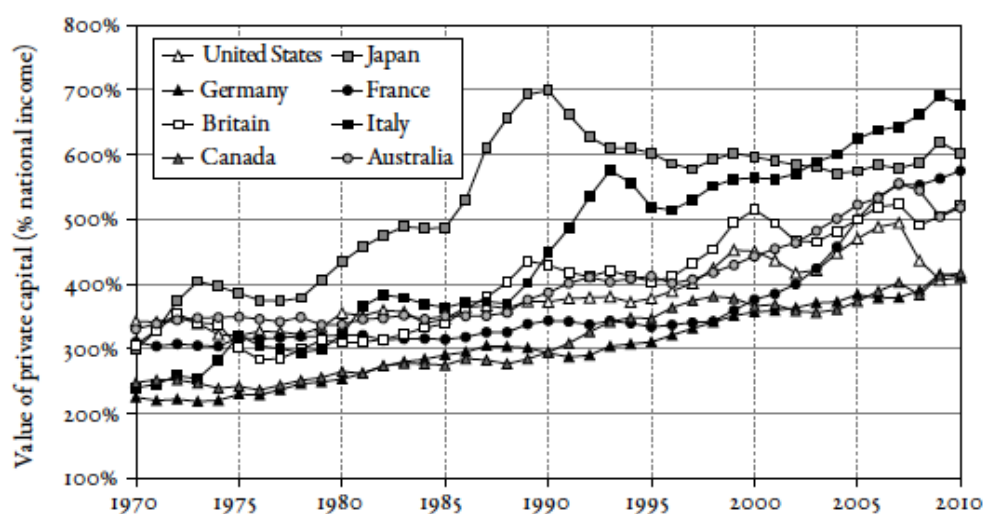


FIGURE 5.3. Private capital in rich countries, 1970–2010

Private capital is worth between two and 3.5 years of national income in rich countries in 1970, and between four and seven years of national income in 2010.

Sources and series: see piketty.pse.ens.fr/capital21c.

As can be seen private capital/Income has been rising since the 1970s in all these countries. (Private capital = K (total capital) minus public capital).

What are the reasons for this increase?

One is increase in asset prices

We know that K is volume (or quantity of capital) times price of capital. So capital from land depends on real estate prices. If there is a bubble in the price of financial assets (such as stocks), the value of financial assets will increase. Therefore, an important reason for the increase in the ratio of private capital to income since the 1970s (as seen in the

Figure) is the increase in capital prices. It may also be noted that there have been large fluctuation in asset prices on account of speculative bubbles (such as the Japanese bubble of 1990) and financial crisis. The fluctuations in capital/income ratio seen in the graph in table 5.3 is partly because of price fluctuations.

Second is low growth (g is small) and high saving (s): leading to an increase in K/Y ratio

Low growth of income g is partly due to the slow growth of population: population grew at less than 0.5% per year in Europe and Japan during the period 1970-2010. It can be seen that population growth was slightly faster — 1% to 1.5% — in the United States, Canada and Australia during that period. At the same time, private saving rate is low in the United States 7 to 8% compared to Japan. All of these have contributed to the lower levels of K/Y ratio in the United States compared to Japan.

Private capital expressed in years of disposable income

Disposable income (of all persons combined) = National income minus taxes plus transfers from government.

In rich countries, in the 2000s, private capital represented four to seven years of national income or five to nine years of disposable income

Privatisation of wealth in the rich countries.

One of the reasons for the increase in private capital to income ratio is the privatisation or gradual transfer of public wealth into private hands.

During 1970 to 2010, there was a gradual decline in the ratio of public capital to national income and an increase in the ratio private capital to national income. See Figure 5.5.

One of the reasons for such transfer of wealth to private persons was the nature of financing government budget. Instead of increase in taxes to raise government revenues, what resulted was government deficits financed by public debt. That is, the government

paying back their debts (or government bonds) — the relatively rich who are holders of government debt increase their wealth.

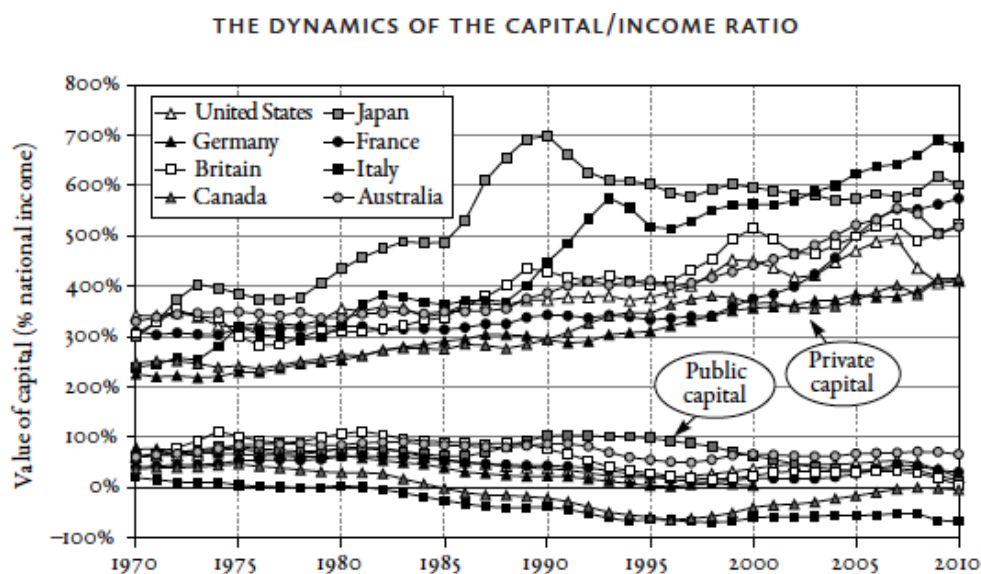


FIGURE 5.5. Private and public capital in rich countries, 1970–2010

In Italy, private capital rose from 240 percent to 680 percent of national income between 1970 and 2010, while public capital dropped from 20 percent to –70 percent.

Sources and series: see piketty.pse.ens.fr/capital21c.

Another reason for the increase in β or K/Y ratio: the rise in Tobin's Q

Tobin's Q = is a ratio = Market value or stock market value/book value or accounting value of firms. This ratio rose steadily during the period 1970-2010. A rise in the Q ratio increases the market value of the assets of firms and thereby leads to a rise in the K/Y ratio.

These ratios are slightly above one (or 100%) — that is, the market value bigger than the book value — in the US and Britain. The ratios rose particularly during periods of stock market booms and fell during periods of stock market crisis, such as following the Internet bubble burst in 2001 and the global financial crisis in 2008.

The Q ratio is slightly less than one in Germany, France and Japan. That is, partly because of the nature of corporate management in these countries. In Germany's 'Rhenish capitalism', firm owners are not in full control, but they have to

compromise in long-term relationship with other “stakeholders” (such as worker representatives, local or national governments, consumer groups, and so on).

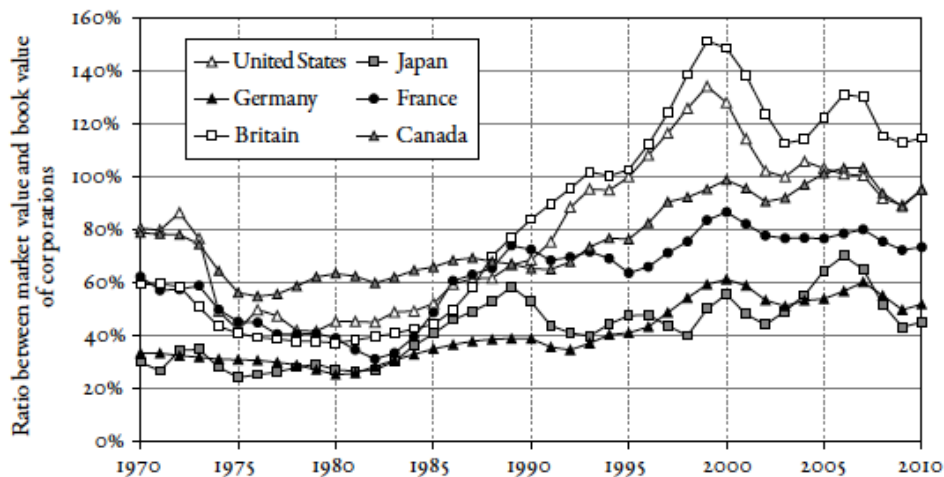


FIGURE 5.6. Market value and book value of corporations

Tobin's Q (i.e. the ratio between market value and book value of corporations) has risen in rich countries since the 1970s–1980s.

Sources and series: see piketty.pse.ens.fr/capital21c.

Summary of Chapter 7: 'Inequality and Concentration'

Capital and Inequality

Piketty's concern is how capital accumulation can lead to greater inequality. This was also the concern expressed by Karl Marx way back in the 19th century.

The key variable of concern in Piketty's analysis is K/Y . Capital stock expressed as years of national income.

The meticulous work by Piketty shows that K/Y increases during periods of rising inequality.

Why so?

As we know, incomes are in the form of labour incomes and capital incomes.

Income inequality is the result of adding up these two components: inequality of income from labor and inequality of income from capital. (Chapter 7, p.242).

We know that there is high degree of inequality in ownership of capital (such and factory buildings).

However, inequality of income from capital (in the form of rent, dividends) is greater than inequality of capital itself

The distribution of capital ownership (and of income from capital) is always more concentrated than the distribution of income from labor. (p. 244)

So here is the main message of Chapter 7:

Inequality in income from labour < Inequality in ownership of capital < Inequality in income from capital

The upper 10 percent of the labor income distribution generally receives 25-30 percent of total labor income, whereas the top 10 percent of the capital income distribution always owns more than 50 percent of all wealth.

The bottom 50 percent of the wage distribution always receives a significant share of total labor income (generally between one- quarter and one- third, or approximately as much as the top 10 percent), whereas the bottom 50 percent of the wealth distribution owns nothing at all, or almost nothing.

The very high concentration of capital is explained mainly by the importance of inherited wealth and its cumulative effects: for example, it is easier to save if you inherit an apartment and do not have to pay rent.

With respect to in equality of income from labor, we find that in the most egalitarian societies, such as the Scandinavian countries in the 1970s and 1980s, 10 percent receiving

the highest incomes from labor claim a little more than 20 percent of the total income from labor.

In the societies where wealth is most equally distributed (once again, the Scandinavian countries in the 1970s and 1980s), the richest 10 percent own around 50 percent of national wealth or even a bit more.

Inequalities of wealth in the countries that are most egalitarian in that regard (such as the Scandinavian countries in the 1970s and 1980s) appear to be considerably greater than wage inequalities in the countries that are most inequalitarian with respect to wages (such as the United States in the early 2010s):

The following figures in *Capital and Ideology* explain the above relationship

Income Inequality in Europe and the United States, 1900-2015

Piketty, Thomas (2020) *Capital and Ideology*,

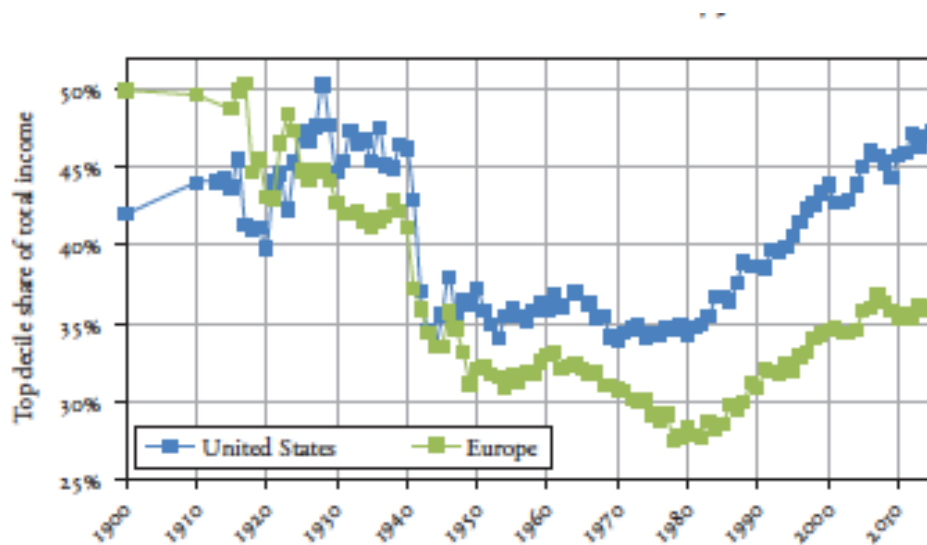


FIG. 10.1. Income inequality in Europe and the United States, 1900–2015

Wealth Inequality in Europe and the United States, 1900-2015

Piketty, Thomas (2020) *Capital and Ideology*,

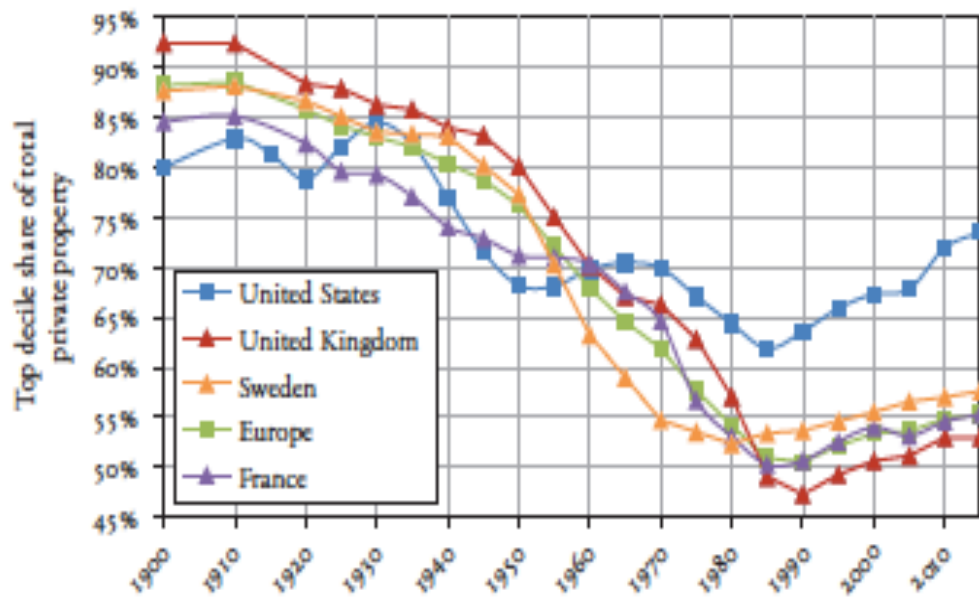


FIG. 10.4. Wealth inequality in Europe and the United States, 1900–2015

Income versus wealth inequality in France, 1900–2015

(Piketty, Thomas (2020) *Capital and Ideology*,

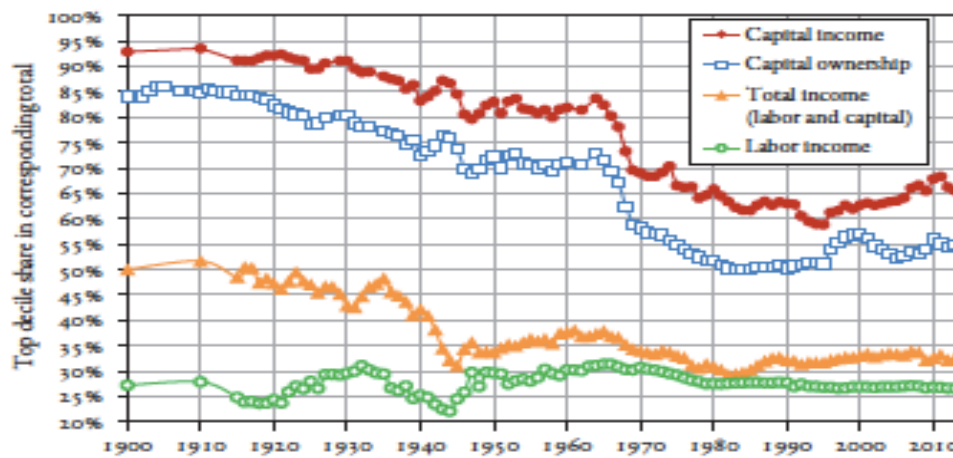


FIG. 10.6. Income versus wealth inequality in France, 1900–2015

The above Figure explains the following relation very well:

Inequality in income from labour < Inequality in ownership of capital < Inequality in income from capital

Also see Tables 7.1 , 7.2 and 7.3 of *Capital in the Twenty First Century*

Summary of Chapter 8: Two Worlds

In this Chapter, Piketty explains how a fall in income from capital (such as rental incomes: as we have seen in Ch.7, inequality of income from capital is the highest) led to fall in overall income inequality in France.

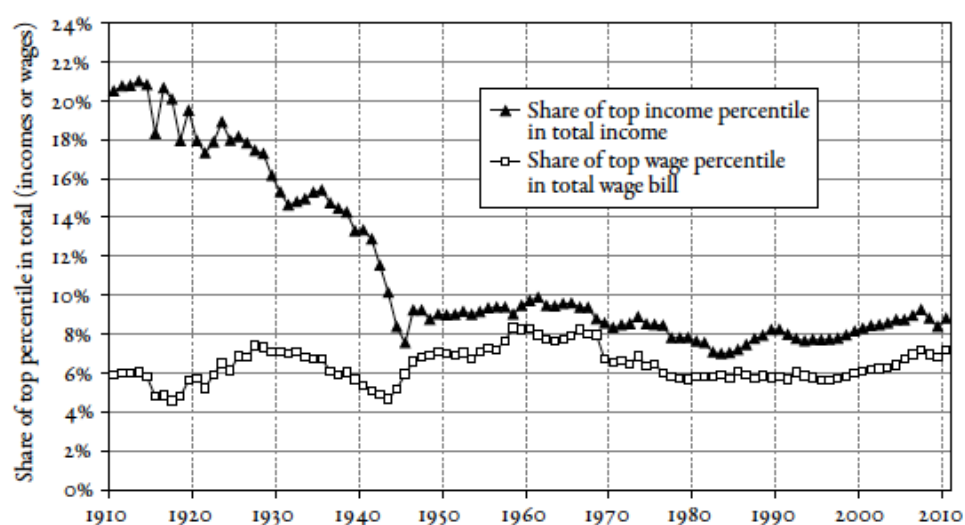


FIGURE 8.2. The fall of rentiers in France, 1910–2010

The fall in the top percentile share (the top 1 percent highest incomes) in France between 1914 and 1945 is due to the fall of top capital incomes.

Sources and series: see piketty.pse.ens.fr/capital21c.

As we can see from the above Figure, the richest or the top one percentile (the top 1 percent highest incomes) had a share of 20% or one fifth of the total incomes in France in 1910, that is, before the beginning of the first World War. But by 1950, the share of the top one percentile in France's overall income fell to 8%. That was a remarkable reduction of overall inequality.

Much of the decline in inequality was on account of the fall in incomes from capital of the very rich. The inequality in wage incomes (or income from labour) was always much lower in France. Even in 1910, the wages received by the top one percentile was only 6% of the overall wages in the country.

Therefore, the decline of inequality in France was due to the “fall of the rentier and the collapse very high income from capital”. The decline of income from capital was caused

by a few factors, including: the destruction caused by the two World Wars, bankruptcy caused by the great Depression, and new public policies (such as taxes on incomes)

Piketty argues that the top decile (the richest 10%) of the French society transformed itself from being a “society of rentiers” to a “society of managers”.

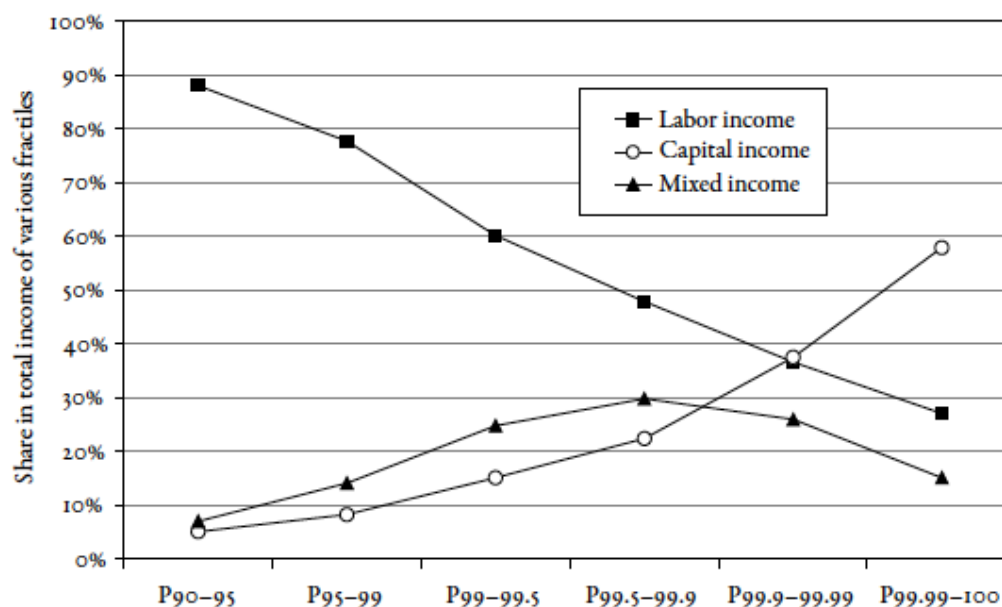


FIGURE 8.4. The composition of top incomes in France in 2005

Capital income becomes dominant at the level of the top 0.1 percent in France in 2005, as opposed to the top 0.5 percent in 1932.

Sources and series: see piketty.pse.ens.fr/capital21c.

The above figure shows what constitutes the incomes of the richest decile in France: Is it incomes from labour, income from capital, or is it mixed incomes? The Figure shows that even within this group of the top decile, there are at least two subgroups. One is the sub-group of the top percentile (the richest 1%). It is in this sub-group — and only in this sub-group — that income from capital (rent, dividend, ..) accounts for a bigger share (around 60%) of the overall incomes. In the next 9% — persons who fall between the 90th and 99.5th percentile, income from labour accounts for the bigger share. Within this “9 percent” fall many of the professionals, including doctors, lawyers,.....

In the case of the United States, two observations:

Rise in inequality in the US since the 1980s.

A major reason for this increase in inequality is the inequality in labour incomes — the rise of the supermanagers who earn very high salaries. Given in the two Figures below:

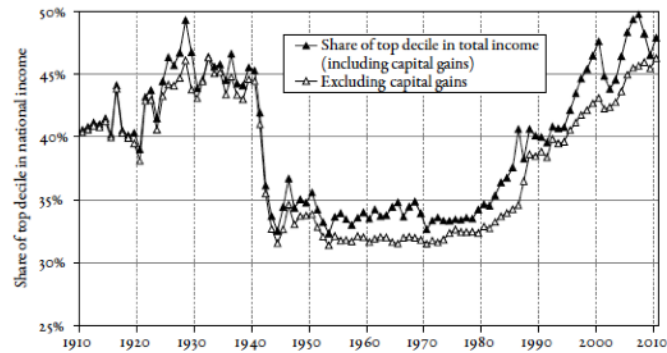


FIGURE 8.5. Income inequality in the United States, 1910–2010

The top decile income share rose from less than 35 percent of total income in the 1970s to almost 50 percent in the 2000s–2010s.

Sources and series: see piketty.pse.ens.fr/capital21c.

Chapter 11: Merit and Inheritance in the Long Run

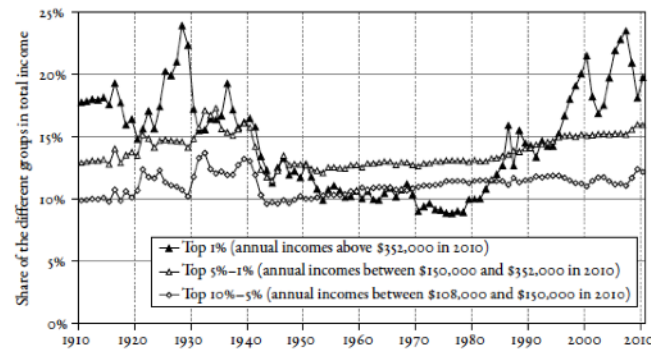


FIGURE 8.6. Decomposition of the top decile, United States, 1910–2010

The rise of the top decile income share since the 1970s is mostly due to the top percentile.

Sources and series: see piketty.pse.ens.fr/capital21c.

An important determinant of whether inequality is rising or falling is the nature of the relation between r and g .

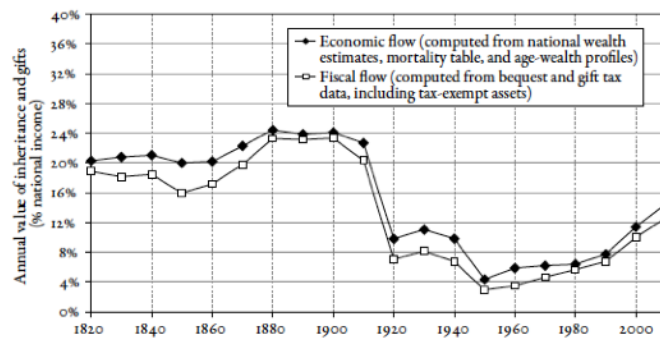


FIGURE 11.1. The annual inheritance flow as a fraction of national income, France, 1820–2010

The annual inheritance flow was about 20–25 percent of national income during the nineteenth century and until 1914; it then fell to less than 5 percent in the 1950s, and returned to about 15 percent in 2010.

Sources and series: see piketty.pse.ens.fr/capital21c.

We know that r is the rate of growth of income from capital (such as rent or dividend), whereas g is the rate of growth of overall incomes, including income from capital and income from labour.

If r is growing faster than g , then inequality is likely to increase. Those who own capital, including capital that is inherited, their incomes will be rising faster than persons who depend on incomes from their labour.

In other words, in a country in which r is growing faster than g , those who inherit wealth will do much better than those who depend only on their merit.

income from their therefore, this chapter tries to understand the importance of income from inheritance in overall incomes can be seen that the Manuel value of inheritance and inheritance and gifts was approximately 25% during the period from 1880 to 1910, the value of inheritance fell, however, by 1952, as low as four person inheritance has become more important in the period after 1980 rising to 16% by 2010.

What determines the amount of inheritance flows in a country? There are three factors according to Piketty.

Annual economic flow of inheritance and gifts expressed as a proportion of national income is b_y

$$b_y = \mu \times m \times \beta,$$

where β is the capital/income ratio (or, more precisely, the ratio of total private wealth, which, unlike public assets, can be passed on by inheritance, to national income), m is the mortality rate, and μ is the ratio of average wealth at time of death to average wealth of living individuals.

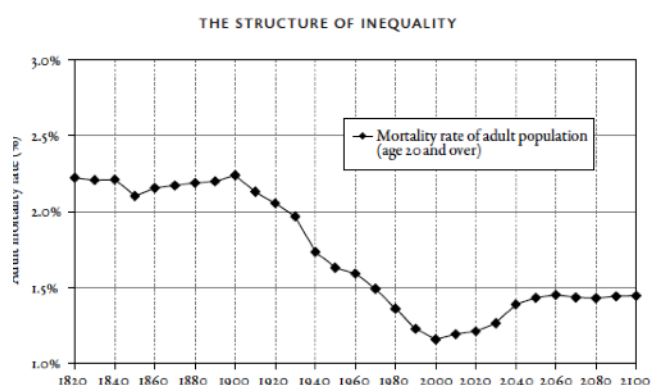


FIGURE 11.2. The mortality rate in France, 1820–2100

The mortality rate fell in France during the twentieth century (rise of life expectancy), and should increase somewhat during the twenty-first century (baby-boom effect).

Sources and series: see piketty.pse.ens.fr/capital21c.

Let us examine how mortality and the ratio of average wealth at time of death to average wealth of living individuals behaved over time:

.....

APPENDIX (Optional reading)

Until Solow's growth model in the 1950s, the implicit hypothesis was that growth of production, and especially of manufacturing output, was explained mainly by the accumulation of industrial capital. In other words, output increased solely because every worker was backed by more machinery and equipment and not because productivity as such (p. 227).

Harrod-Domar and Solow Model

According to Harrod-Domar model: Developed by Ray Harrod and Evsey Domar between 1939 and 1948

$g = s / \beta$ where g is rate of growth of output, s is rate of savings, and β is capital/income (K/Y) ratio.

The Harrod-Domar model assumed that β (or K/Y ratio) is constant.

It becomes clear then that to increase the rate of growth of output (g), what is needed is to increase the savings rate (s) and thereby achieve a higher rate of capital accumulation.

Higher savings leads to higher levels of investment (capital accumulation),

increases the production capacity of the economy (it is possible to produce more steel and cement in the economy), which leads to faster growth of output in the economy

Development models of the 1950s (including India's First Five-Year Plan) were based on the Harrod-Domar model. Achieving a higher level of savings (and thereby capital accumulation) had been considered the key to faster economic growth.

However, Harrod-Domar model had been criticized for its exclusive emphasis on capital accumulation. The dependence on capital accumulation arises partly because it starts with the assumption that capital/income ratio is constant. But what if the country could switch to advanced technologies with a lower level of capital/income ratio. Consider, for instance, steel industry and IT services industry. Capital/income ratio is likely to be less in the IT services industry.

Also if efficiency or productivity can be increased (that is, more output for a given level of input including capital input), then again capital/income (K/Y) ratio need not be constant.

The Solow Neoclassical Growth Model Developed mainly from Robert Solow's papers written during 1956 and 1957

If Harrod-Domar model is about the importance of capital accumulation, the Solow model argued that technical progress, and not just capital accumulation, is the key to lasting economic progress.

The Solow model is on the relation between k (K/L) and y (that is Y/L). The relationship is positive: The greater is k , higher are the levels of y that can be achieved.

However diminishing returns from capital accumulation. At higher levels of k , smaller increase in y for a given increase in k .

Think of a situation in which agricultural farm in which workers prepare the land with traditional wooden ploughs. Then if tractors are introduced into this field, you can imagine that capital/worker will increase and so will output/worker from this farm.

Now imagine that more advanced machinery is brought in (say driverless, computer controlled tractors). The additional increase in output/worker (from what it had been after the introduction of tractors) will be less than the increase when the farm moved from wooden ploughs to tractors.

So higher levels of capital/worker, output/worker will be high

Growth of per capita output achieved with increases in savings rate and higher capital accumulation will be temporary. For permanent increase in output/worker, technological progress is needed, according to Solow model.

One question that may arise here is: does not technological progress occur along with greater capital accumulation?

The Solow model does not tell us where technological progress comes from. Technological progress is exogenous. Criticizing this position, Joan Robinson wondered whether technological progress is "mannah from heaven"

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Questions from Piketty's Book.

In discussing each of the following questions, you should also think on whether the argument is relevant in the Indian context (if so, how)

How do you think the Rhenish capitalism that flourished in Germany was different from the capitalist development that occurred in France and Britain? (Look at chapter 4 of *Capital*, pp. 140-145)

Why, according to Piketty, the US began with a lower level of inequality than Europe? (pp. 150-154 of *Capital*)

How do public wealth, public debt and private wealth influence inequality? (See in particular, pp. 123-134, pp. 170-174, and pp. 183-186 of *Capital*).

Why does Piketty argue that slow growth of population will result in a widening of inequality?

Piketty argues that inequality of income from capital is greater than inequality of income from labour? (See Chapter 7) What are its implications for a country like India?

What have been the reasons for the increase in inequality in the US after 1980 and also for the rise in super salaries in that country? (see pp. 294-303).

Why does Piketty argue that inheritance will turn out to be more important than merit in the long run? (See chapter 11, especially pp. 378-380; 407-410)